



Aeroflex Industries (AEROFLEX)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID

CMP ₹419	52W H / L ₹459 / ₹158	MKT CAP ₹5,551 Cr	P/E (TTM) VS SECTOR ~100x vs ~22x	ROE / ROCE 14.1% / 18.8%
PROMOTER (Δ, PLEDGE) 65.5% · flat · 0%	FII / DII 1.5% / 3.8%	BETA ~1.3 (approx)	ADV N/A – verify	NET DEBT Net cash (borr ₹9 Cr)



PRIMARY CATALYST — THE REASON IT MOVES NOW

A 7.5× ramp of liquid-cooling SFN skid-assembly capacity to 15,000 units/yr (live Jun-Jul 2026) positions Aeroflex as the cleanest listed proxy for India's AI data-center cooling build-out — management targets ₹300–350 Cr of skid revenue by FY29 vs ~₹21 Cr booked in FY26's first four months.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Capex / Demand-side (new vertical)	+₹300–350 Cr rev by FY29 (~70% of FY26 sales); skids → 60–70% of mix in 3–4 yrs	MEDIUM	Capacity live Jun–Jul 2026; rev inflection FY27–FY29

Priced in? Largely. Stock has ~2.5×'d off the ₹158 low to a ₹459 high on the AI-cooling narrative; at ~100x TTM (3-yr median ~50x, sector ~22x) the FY29 optionality is substantially embedded. What is NOT priced: a named large-DC order win or skid exports. · Source: Q3/Q4 FY26 concalls (Jan/May 2026); ICICIdirect & Whalesbook, Apr–May 2026

BULL

₹459–490

Capacity commissioned on time + a marquee DC client order; breakout over 52W high. ~+10–17%

BASE

₹400–420

Rangebound consolidation under ATH while market waits for Q1 FY27 skid volumes. ~flat

BEAR

₹340–360

Smallcap risk-off or ramp/utilisation slip; mean-revert toward 200-DMA. ~-14–19%

Aeroflex is a high-quality, near-debt-free flow-solutions exporter riding a genuine AI/data-center liquid-cooling tailwind, with a funded capacity ramp landing in the next two months — but at ~100x earnings the story is already in the price and the lone published target sits at the CMP, so for a swing horizon it is a range trade pending hard proof of skid volumes in Q1 FY27, not a chase here.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capex	15,000 skids/yr capacity commissioned (from 6,000)	Unlocks FY27 skid run-rate; underpins ₹300–350 Cr FY29 target	H	Jun–Jul 2026	Q4 concall, May 2026
Order win	Named / large data-center client award for skids	Re-rating trigger; validates demand depth beyond initial dispatches	M	FY27	qualitative
Financial	Q1 FY27 results — skid volume + margin proof	Confirms 23–25% EBITDA hold while ramping; first real utilisation read	H	~Jul–Aug 2026	earnings cadence
Input / Geo	US/EU tariff & pricing on 74%-export core hose business	Already ceded ~8% price discount to retain clients; further cuts hit margin	M	Ongoing	Q4 concall, May 2026
Financial	Record Q4 margin (23.86% PBDIT) sustainability	Mix shift to value-added assemblies (54% of FY26) supports mid-20s EBITDA	M	Quarterly	Q4 FY26 result, May 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capital action	Final dividend ₹0.40 (20% of ₹2 FV) + AGM nod	Immaterial to total return (~0.07% yield); signals confidence only	H	AGM ~Aug-Sep 2026	Q4 board, May 2026
Technical	Consolidating ₹400–420 beneath 52W high ₹459	₹459 volume breakout = trend resumption; loss of ~₹360 = momentum unwind	M	Now	price action (approx)

WHAT THE STREET IS PRICING IN

Coverage is **thin** (~1 published analyst). **IN the price**: the full FY27–FY29 skid optionality and sustained 17%+ core growth — implied by ~100x TTM P/E vs a ~50× 3-yr median and ~22x sector. The lone Trendlyne consensus target (~**₹410**) sits essentially **at the CMP**; an older Apr-2026 average target of ₹245 explicitly flagged downside on valuation. **NOT in the price**: a step-change marquee DC contract, skid *exports* (currently India-only), or margin upside beyond the mid-20s. Net: little asymmetry at ₹419 — you are paying for execution that has barely begun.

KEY LEVELS & TRADE FRAME

Entry zone	₹395–410 (on dip / range support)
Stop (below swing low ≈ 200-DMA, approx)	₹355
Target 1 / Target 2	₹459 / ₹490
R:R · suggested size	~1.5:1 · 2–3% (high-beta)

Levels approx — verify on chart; no live DMA feed. Frame is conditional: only valid on a confirmed range-support entry or a ₹459 volume breakout, not at CMP mid-range.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	Any growth wobble / single Q miss at ~100x	–25–40%	M
Ramp / utilisation miss	7.5× capacity in ~2 quarters; demand-timing gap	–15–20%	M
Export / tariff shock	74% exports US/EU; ~8% price cut already given	–10–15%	M
New-vertical concentration	Skids India-only, single nascent demand pool	–10%	M
Smallcap beta / liquidity	Broad risk-off; high-beta drawdown	–15%	M
Governance	Promoter 65.5%, no pledge disclosed — low concern	qualitative	L

CATALYST CALENDAR

DATE	EVENT
Jun–Jul 2026	15,000-skid/yr capacity commissioning
~Jul–Aug 2026	Q1 FY27 results + earnings call (skid-volume proof)
Aug–Sep 2026	AGM — final dividend approval
Ongoing	DC client order announcements; US/EU tariff news

AVOID

Excellent business and a real AI-cooling tailwind, but at ~100x with the consensus target at the CMP and the catalyst well-telegraphed, swing risk-reward at ₹419 is unfavourable — wait for a range-support entry or a confirmed breakout. **Flips the call**: a named large-DC skid order, or Q1 FY27 showing skid volumes scaling with mid-20s EBITDA held → upgrade to TACTICAL LONG.

MPM · SCREEN — ANALYZE — INVEST

For information only. Not investment advice or a solicitation. AEROFLEX is a high-valuation smallcap; position sizing and stops are essential. Figures cross-checked across vendors but may be stale — verify against the latest exchange filings before acting.

Sources: Screener.in (consolidated, ~03 Jun 2026); Aeroflex Q3 FY26 concall transcript (29 Jan 2026) & Q4 FY26 results/concall (May 2026); ICICIdirect (15,000-unit capacity, 2026); Whalesbook "AI Cooling Hype / Valuation Risks" (15 Apr 2026); ScanX Q4 FY26 results; Groww/Tickertape price (29–31 May 2026); Trendlyne consensus. Note: data on the separate "Aeroflex Enterprises" entity was discarded as unrelated.

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